15 OCTOBER 2026

Published: October 15, 2026

Vistra Corp (VST)

The Data Center Electron Trade, Priced for Perfection at the Top of the Cycle

Analyst: Justin Wen

Vistra has assembled the premier competitive power portfolio in the United States: the second-largest nuclear fleet among independent producers, a flexible natural gas fleet positioned in the tightest power markets in the country, and a retail book anchored by TXU Energy. Twenty-year power purchase agreements with Meta totaling 2.6 GW, plus a direct 207 MW data center supply deal, have turned VST into the market's preferred way to play AI-driven electricity demand. Our DCF work puts fair value at a $167.47 base case, about 10% above the current price, with a wide $101.60 to $241.84 range that reflects how much of the bull case is already in the price. We rate VST Hold.

HOLD	$101.60	$167.47	$241.84	$169.60
INVESTMENT RATING	BEAR TARGET -33.1%	BASE TARGET +10.3%	BULL TARGET +59.3%	BLENDED TARGET +11.7%

Reference price $151.79. Targets and upside versus the reference close.

~$51B	339M	$17.29B	Nov 6, 2026
MARKET CAP	DILUTED SHARES	NET DEBT	Q3 EARNINGS

Vistra is the largest competitive power producer in the United States, pairing baseload nuclear and flexible gas generation (Luminant) with one of the country's biggest retail electricity books (TXU Energy, Ambit). The market now values it as a secular AI infrastructure winner rather than a cyclical merchant generator.

Executive Summary

In our view, Vistra sits at the intersection of the two most powerful trends in the power sector: the AI data center buildout and the renaissance of existing nuclear assets. The company's 2.6 GW of twenty-year Meta power purchase agreements, its direct 207 MW data center supply deal, and a $4.2 billion Department of Energy loan to uprate the Perry, Davis-Besse, and Beaver Valley nuclear plants give Vistra contracted, durable cash flows that few merchant generators can match. We see the nuclear uprate program as the single most underappreciated lever in the story: federally financed capacity additions at existing sites carry far less execution risk than new builds and drop almost directly to free cash flow.

That quality comes at a price. At roughly $151.79, the market is pricing in a great deal of the data center growth narrative. Our reverse DCF work shows the current price implies approximately 9% revenue CAGR over five years, a demanding hurdle that sits well above historical merchant power growth and leaves limited room for disappointment on PPA pricing, uprate timelines, or Texas power price normalization. Our base case fair value of $167.47 offers about 10% upside, which falls inside our plus or minus 10% Hold band. We rate VST Hold and would become more constructive on a pullback toward the low $130s, or on evidence that incremental data center PPAs are being signed at economics above what we model.

Key Themes

AI data center power demand. Trend: Accelerating

The 2.6 GW Meta agreements and the 207 MW direct-to-data-center PPA make Vistra the listed market's purest play on contracted AI load growth. Hyperscaler willingness to sign twenty-year terms at premium pricing de-risks a large portion of the generation book and supports a higher terminal multiple than a pure merchant generator deserves. We see this as the dominant driver of the stock's re-rating, and the key variable to watch is the pricing and tenor of the next wave of PPAs.

Nuclear uprates with federal financing. Trend: Improving

The $4.2 billion DOE loan to uprate Perry, Davis-Besse, and Beaver Valley adds carbon-free baseload capacity at a fraction of new-build cost and risk. Uprates at existing licensed sites avoid the permitting and construction overruns that have plagued greenfield nuclear. In our view, each incremental megawatt from this program carries a higher return on invested capital than almost any other use of Vistra's capital.

Texas power market tightness. Trend: Stable to firm

Vistra's gas fleet and retail position in ERCOT benefit from tightening reserve margins as load growth outpaces new dispatchable supply. Scarcity pricing episodes disproportionately reward flexible gas assets that can capture price spikes. The risk is mean reversion: an unusually mild summer or a wave of new supply would compress the spark spreads the market currently takes for granted.

Retail stability (TXU Energy). Trend: Stable

The retail book provides a natural hedge: when wholesale prices spike, retail margins compress, and vice versa. TXU's brand and scale in Texas support durable customer counts, but retail is a low-growth, competitive business. We treat it as ballast for the generation story rather than a growth engine.

Balance sheet and capital returns. Trend: Stable

Net debt of $17.29 billion is elevated in absolute terms but serviceable against contracted cash flows, and the DOE loan is long-dated, low-cost federal financing rather than market debt. Management has historically balanced buybacks with deleveraging. We watch the pace of share repurchases: with 339 million diluted shares outstanding, buybacks are a meaningful lever for per-share value if the stock weakens.

Bull Case: $241.84 (+59.3%)

Our Bull case assumes the data center contracting wave exceeds expectations and the nuclear uprate program delivers on time and on budget, compounding into a structurally higher earnings base:

- Meta-scale PPAs continue: additional hyperscaler agreements at similar twenty-year tenors and premium pricing, lifting contracted cash flow visibility into the 2030s.

- Nuclear uprates deliver the full planned capacity with DOE financing intact, adding high-margin baseload megawatts at low incremental cost.
- ERCOT scarcity pricing persists as load growth from data centers and electrification outruns new dispatchable supply, sustaining elevated spark spreads for the gas fleet.
- Capital allocation compounds: buybacks at attractive prices reduce the share count while the DOE loan funds growth without stressing the balance sheet.

In this scenario, Vistra earns a premium valuation as contracted AI infrastructure rather than a merchant generator, and the market pays up for twenty-year cash flow visibility that few peers can replicate.

Bear Case: $101.60 (-33.1%)

Our Bear case assumes the market is overpaying for growth that arrives slower, cheaper, or not at all:

- Data center PPA momentum stalls: hyperscalers pause signings, build their own generation, or extract lower pricing as competition among power providers intensifies.
- Nuclear uprate execution slips: regulatory delays or cost overruns at Perry, Davis-Besse, or Beaver Valley erode the return on the $4.2 billion program.
- Texas power prices normalize: mild weather, new supply additions, or demand growth that disappoints would compress spark spreads and expose the merchant portion of the gas fleet.
- Leverage binds: with $17.29 billion of net debt, a sustained downturn in power prices or a pause in buybacks would weigh on per-share value and limit financial flexibility.

In this scenario, Vistra re-rates back toward a merchant generator multiple, and the AI infrastructure premium in the current price unwinds. The 33% downside in our Bear case reflects how much optimism is embedded at today's quote.

Verdict

We rate Vistra **Hold**. Our $167.47 base case implies roughly 10% upside from $151.79, which sits inside our plus or minus 10% Hold band around fair value. The business quality is high: contracted hyperscaler load, federally financed nuclear uprates, and a premier Texas footprint. But the price already reflects much of it. The reverse DCF tells the story plainly: 9% implied five-year revenue CAGR is a demanding hurdle for a power producer, even one with Vistra's contracted book.

In our view, the risk/reward is balanced here. We would upgrade on a pullback toward the low $130s, where the upside to our base case would clear 25%, or on tangible evidence of incremental PPA signings at economics above our assumptions. Conversely, any slippage in the uprate program or softening in data center contracting pace would push us to reassess. The November 6 Q3 print is the next real catalyst: we will be listening for PPA pipeline commentary, uprate milestones, and any update on 2026 guidance.

Other KPIs We Track

Contracted cash flow visibility

The twenty-year Meta PPAs are the anchor of the investment case. We track the weighted-average remaining tenor of the contracted book and the pipeline of unsigned data center load in Vistra's footprint. Duration is the moat: every additional long-tenor signing extends the period over which the market can underwrite premium multiples.

Nuclear capacity factor and uprate milestones

U.S. nuclear fleets typically run above 90% capacity factors, and Vistra's should be no exception. We monitor refueling outage performance and, more importantly, regulatory and construction milestones for the Perry, Davis-Besse, and Beaver Valley uprates. On-time delivery here is the clearest de-risking event available to the story.

ERCOT reserve margins and realized spark spreads

Tight reserve margins are the fundamental support for the gas fleet's earnings power. We watch ERCOT's seasonal assessments and Vistra's realized spark spreads versus forward curves. Sustained outperformance versus the curve would support the Bull case; reversion would favor the Bear.

Retail customer counts and churn (TXU Energy)

Stable to growing customer counts with low churn validate the retail hedge. Sharp churn or margin compression would signal competitive pressure in Texas retail and reduce the ballast that stabilizes consolidated results.

Leverage and buyback pace

Against $17.29 billion of net debt and 339 million diluted shares, we track net debt to EBITDA and the quarterly buyback run rate. The DOE loan's low-cost, long-dated structure helps, but the absolute debt load demands respect in any power price downturn.

Guidance and What to Watch

Vistra reports third quarter 2026 results on **November 6, 2026**. In our view, the print matters less for the quarterly numbers than for three forward-looking items:

- **PPA pipeline:** any update on incremental data center agreements beyond the Meta 2.6 GW and the 207 MW direct deal, including tenor and pricing color.
- **Uprate milestones:** progress at Perry, Davis-Besse, and Beaver Valley, including NRC interactions and the DOE loan disbursement schedule.
- **2026 outlook:** any revision to full-year guidance and commentary on Texas summer performance and forward spark spreads.

Beyond earnings, we watch federal energy policy for any change to the DOE loan program's terms, ERCOT market design developments, and hyperscaler capex commentary for read-throughs to data center power demand. Any of these could move the stock more than the quarterly print itself.

Valuation Summary

Our DCF uses a dynamic WACC starting near 8.8% in year one and decaying toward approximately 7.2% as Vistra's beta normalizes from 1.39 toward a mature utility-like 0.7 over the forecast horizon. This beta decay reflects our view that twenty-year contracted cash flows and federally backed nuclear uprates progressively de-risk the business relative to a pure merchant generator.

Scenario	Target	Upside	Key assumption
Bear	$101.60	-33.1%	PPA momentum stalls; uprates slip; Texas prices normalize
Base	$167.47	+10.3%	Contracted growth delivers; uprates on plan; stable spark spreads
Bull	$241.84	+59.3%	Hyperscaler wave accelerates; full uprate value; scarcity pricing persists
Blended	$169.60	+11.7%	Probability-weighted across scenarios

The reverse DCF cross-check is instructive: at $151.79, the market implies roughly 9% five-year revenue CAGR. That is achievable in our Bull case but demanding as a market-wide expectation, and it is the central reason we do not rate the stock a Buy despite the quality of the contracted book. Valuation, not business quality, is the constraint.

Live-target disclaimer: price targets in this note are generated from our DCF models using market inputs as of the publication date. Targets move as spot prices, interest rates, and model inputs change. This note reflects our views at publication and will be refreshed following earnings and material developments.

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